

EZCA

COMPANIES ACT 2013

□ KEYWORDS MINI REVISION FOR YOUR LAST MOMENT REVISION

□ 1. INTRODUCTION

Companies Act 2013 | Replaced 1956 Act | 470 Sections | 29 Chapters | 7 Schedules

Objectives

- ▶ **Corporate Governance:** Strengthens transparency & accountability
- ▶ **Minority Protection:** Safeguards rights of small shareholders
- ▶ **Simplification:** Easier compliance & procedures
- ▶ **Whistle-blower Provisions:** Protection for reporting fraud
- ▶ **Class Action Suits:** Group of members can sue company/auditors

□ 2. APPLICABILITY OF ACT

Type of Company / Entity	Covered?
Companies incorporated under this Act / previous company law	✓Yes
Insurance companies	✓Yes (+ Insurance Act)
Banking companies	✓Yes (+ Banking Act)
Electricity companies	✓Yes (+ Electricity Act)
Companies governed by Special Acts	✓Yes (special provisions apply)

□ 3. MEANING OF COMPANY

Section 2(20) A company incorporated under this Act or any previous company law.

Chief Justice Marshall A corporation is an artificial being, invisible, intangible — existing only in the eyes of law.

Prof. Haney A company is an artificial person created by law, with perpetual succession and a common seal.

Key Characteristics

Incorporated Association | Artificial Person | Separate Legal Entity | Perpetual Succession

4. FEATURES OF COMPANY ★★★

1 Separate Legal Entity
Distinct from its members. Can own property, enter contracts, sue & be sued in its own name. □ Case: Macaura vs Northern Assurance Co.

2 Perpetual Succession
Members may come and go — company continues to exist until legally dissolved.

3 Limited Liability
Members' liability limited to unpaid amount on shares (shares) or amount guaranteed (guarantee).

4 Artificial Legal Person
Created by law, not by birth. Acts through its Board of Directors.

5 Common Seal
Official signature of company. Now OPTIONAL after 2015 Amendment. If absent → signed by: 2 Directors OR 1 Director + Company Secretary.

5. CORPORATE VEIL THEORY ★★★

Corporate Veil The veil separating the company from its members. Members are NOT personally liable for company acts.

Landmark Case Salomon vs Salomon & Co. Ltd. — Established that a company is a separate legal entity from its shareholders.

Lifting / Piercing the Veil (When veil is ignored)

- ▶ Fraud or improper conduct
- ▶ Tax evasion
- ▶ Enemy character (company controlled by enemy country nationals)
- ▶ To avoid a legal obligation
- ▶ Subsidiary acting as agent of holding company

6. CLASSES OF COMPANIES ★★★

(A) On Basis of Liability

Limited by Shares	Limited by Guarantee	Unlimited Company
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(B) On Basis of Members

Type	Section	Min Members	Max Members	Key Feature
OPC	2(62)	1	1	Nominee required; only Indian natural person; no minor

Private Company	2(68)	2	200	Restricted share transfer; no public invitation
Public Company	2(71)	7	No limit	Shares freely transferable; can invite public
Small Company	2(85)	—	—	Paid-up ≤ ₹4 Cr & Turnover ≤ ₹40 Cr

(C) On Basis of Control

Holding Company	Subsidiary (>50% control)	Associate (≥20% influence)
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(D) On Basis of Capital Access

Listed Company	Unlisted Company
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(E) Other Important Companies

Type	Key Points
Government Company	≥51% paid-up capital held by Central/State Govt.
Foreign Company	Incorporated outside India but has business in India.
Section 8 Company	Charitable purpose; no dividend; no 'Ltd/Pvt Ltd' suffix; licensed by Central Govt.
Dormant Company	No significant transactions; formed for future project or to hold assets.
Nidhi Company	Promotes savings among members (mutual benefit; no outsiders).
Public Financial Institution	LIC, IDFC, UTI etc.; ≥51% Govt shareholding.

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7. INCORPORATION OF COMPANY ★★ ★

Promoter [S.2(69)]	Person who forms the company, handles registration, negotiates and gets the company incorporated.
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Steps for Incorporation

Step 1	File documents with ROC (Registrar of Companies)
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Step 2	Submit MOA + AOA + Declaration + Director details + Registered Address
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Step 3	ROC verifies → issues Certificate of Incorporation (COI)
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Step 4	CIN (Company Identification Number) is assigned

COI	Certificate of Incorporation = Birth certificate of the company. Company comes into existence from this date.
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SPICe Form

Simplified Proforma for Incorporating Company Electronically — single-window electronic filing system.

Effects of Registration**Body Corporate****Separate Legal Entity****Perpetual Succession****Can Sue & Be Sued**

8. SHARE CAPITAL ★★

Authorised Capital

Maximum capital company is allowed to raise (as per MOA).

**Issued Capital**

Portion of authorised capital offered to public.

**Subscribed Capital**

Portion of issued capital actually taken up by public.

**Called-up Capital**

Portion of subscribed capital called/demanded by company.

**Paid-up Capital**

Portion of called-up capital actually paid by shareholders.

9. SHARES ★★

Section 2(84)

Share = interest of a shareholder in a company, measured by a sum of money. It is a MOVABLE property and transferable.

Type	Voting Rights	Dividend Priority	Repayment Priority	Key Note
Equity Shares	Yes (DVR option available)	After preference	After preference	Residual claimants; take risk.
Preference Shares	Limited / None	Preferential (fixed %)	Preferential on winding up	Fixed return; lower risk.

10. MEMORANDUM OF ASSOCIATION (MOA) ★★★

MOA

Charter / Constitution of the company. Defines the scope and boundaries within which company can operate.

Ultra Vires ☐

Any act beyond the object clause of MOA is ULTRA VIRES = VOID & cannot be ratified even by all members.

Clauses of MOA

Clause	What it Contains
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Name Clause	Name of company (must end with Ltd. or Pvt. Ltd.)
Registered Office Clause	State where registered office is situated
Object Clause	Main objects; incidental objects; other objects ← MOST IMPORTANT
Liability Clause	Whether liability is limited by shares / guarantee / unlimited
Capital Clause	Amount of authorised capital & its division into shares
Association Clause	Subscribers declare intention to form & subscribe to company

□ 11. ARTICLES OF ASSOCIATION (AOA)

AOA

Internal bye-laws of the company. Governs the internal management & administration.

Feature	MOA	AOA
Nature	Charter / Constitution	Internal Rules / Bye-laws
Scope	Defines external relations & scope	Governs internal management
Alteration	Special Resolution + approval	Special Resolution only
Priority	MOA prevails over AOA	AOA must not contradict MOA
Compulsory?	Yes, always	Optional for public companies (Table F applies by default)

All the best! You've got this □

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